

FORGENT POWER SOLUTIONS, INC.

NYSE: FPS | Industrials / Electrical Equipment — Data-Center & Grid Power Distribution

Institutional Equity Research — Initiating Coverage | 03 June 2026

RATING REDUCE		12M TARGET \$50.00	DOWNSIDE -13.6%	HORIZON 12 Months
CMP (03-Jun-26)	\$57.87	Market Cap	\$17.62 Bn	
Enterprise Value	\$17.93 Bn	Shares O/S	304.43 M	
52-Wk Range	N/A (IPO Feb-26)	IPO Price (05-Feb)	\$27.00	
P/E (TTM, GAAP)	875.8x	Forward P/E	53.4x	
P/S (TTM)	14.5x	Forward P/S	9.0x	
P/B	31.1x	Book Value/sh	\$1.83	
EV/EBITDA (TTM)	109.1x	EV/Sales	15.0x	
ROE / ROCE	6.0% / 7.0%	ROIC	5.4%	
Net Debt	\$613.7 M	Debt/EBITDA	3.8x	
Net Margin (TTM)	2.2%	EBITDA Mgn (TTM)	13.7%	
Inst. Ownership	48.6%	Free Float	98.9 M	
Dividend Yield	N/A	PEG Ratio	0.70	
Altman Z / Piotroski	4.66 / 3	Consensus	Strong Buy (10)	

INVESTMENT THESIS (one line)

Best-in-class AI data-center power play, but the stock has doubled since its Feb-26 IPO and now prices in perfection — superb business, full-valuation, await a better entry.

Snapshot. Forgent is a US electrical-distribution-equipment manufacturer (switchgear, automatic transfer switches, eHouses, transformers, paralleling switchgear, power skids) built by PE sponsor Neos Partners from four acquisitions (MGM, PwrQ, States, VanTran) over eight months in 2023–24. End markets: ~42% data centers, ~23% grid, ~19% industrial, ~16% other. It IPO'd on the NYSE on 05-Feb-2026 at \$27 (a sponsor-driven, mostly-secondary \$1.5bn deal) and has since doubled to ~\$58 on the AI-power theme. Q3 FY26 (qtr-end Mar-26): revenue +103% YoY to \$379m, record bookings \$867m (book-to-bill 2.3x), backlog \$1.98bn (+157% YoY); FY26 guidance raised across the board.

Analyst persona: Senior Industrials / Power-Equipment analyst. Currency: US\$ (figures in \$ millions unless noted). All financials sourced from stockanalysis.com, fetched 03-Jun-2026; qualitative context from company filings, the Q3 FY26 earnings release/call and third-party market research.

2 INVESTMENT THESIS

- **Pure-play exposure to the scarcest input in AI:** Forgent makes the medium-/low-voltage switchgear, transfer switches, transformers and pre-integrated power skids/eHouses that gate hyperscale data-center build-out. With ~42% of revenue from data centers and a US data-center electrical-equipment TAM estimated to triple from ~\$20bn (2026) to ~\$65bn by 2030, the addressable runway supports 25%+ multi-year top-line growth.
- **Order book de-risks the next 18 months:** Q3 FY26 bookings of \$867m (+308% YoY) lifted backlog to a record \$1.98bn — roughly 1.6x trailing-twelve-month revenue — at a 2.3x book-to-bill. That backlog underwrites the raised FY26 guide (\$1.35–1.39bn revenue, +82% at the midpoint) and gives unusually high visibility for a newly-listed name.
- **Margin inflection is real, not promised:** Adjusted EBITDA margin has expanded toward ~22% (Q3 FY26 adj. EBITDA \$85m on \$379m revenue) from low-teens a year ago, driven by scale, a richer data-center mix and pricing on engineered-to-order work. Company guide implies ~23% adj. EBITDA margin for FY26.
- **Credible, marquee-pedigree management:** CEO Gary Niederpruem ran the carve-out/IPO of Vertiv from Emerson; CFO Ryan Fiedler was CFO of Caterpillar Resource Industries. This is an operating team that has scaled a power-equipment platform into public markets before.
- **Near-term catalyst (6–12 months):** The FY27 outlook at the Aug-2026 Q4/full-year print — if management frames FY27 growth >30% with margins holding, it would validate the premium; a soft FY27 frame is the single biggest de-rating risk.
- **Biggest structural risk:** Valuation. At ~57x forward EV/EBITDA and ~88x forward adjusted earnings the stock already trades at/above the most expensive established comp (Vertiv) despite being a freshly-IPO'd, sponsor-controlled, negative-FCF roll-up — leaving no margin of safety and acute sensitivity to any growth wobble or lock-up supply.

3 BUSINESS OVERVIEW

- **What it does:** Forgent designs and manufactures engineered-to-order electrical distribution equipment — automatic transfer switches (ATS), low- and medium-voltage switchgear, paralleling switchgear, generator connection cabinets, padmount / PDU / VPI transformers, power distribution units, power skids, remote power panels and substation transformers / eHouses — that sits between the grid/generation and the critical IT or industrial load.
- **Revenue mix (end-market):** ~42% data centers, ~23% power grid & renewables, ~19% energy-intensive industrial, ~16% other; sold almost entirely in North America. The data-center share is the fastest-growing and the swing factor on both growth and margin.
- **Built by acquisition:** Sponsor Neos Partners assembled Forgent from four legacy brands in eight months — MGM Transformer (Oct-23), PwrQ (Mar-24), States Manufacturing (May-24) and VanTran Industries (Jun-24) — now operating under the unified Forgent parent brand.
- **Customers & visibility:** Engineered-to-order, project-based revenue with hyperscale and colocation data-center operators, utilities and EPC contractors. Record backlog of \$1.98bn (as of 31-Mar-2026, +157% YoY) provides ~1.6x revenue coverage — high visibility, though concentration in a handful of hyperscale customers is likely.
- **Recent strategic developments:** IPO on NYSE 05-Feb-2026 at \$27/sh raising ~\$1.5bn (mostly secondary — Neos sold ~70% of the deal; the company received no primary proceeds, which were used to redeem operating-subsidiary interests held by Neos affiliates under an Up-C structure). Capacity expansion underway to convert backlog.
- **Ownership:** No traditional 'promoter' (US listing). Sponsor Neos Partners (founder/managing partner Mr. Jonna) retains majority economic and voting control via the Up-C structure post-IPO; institutions own ~48.6%; free float ~98.9m shares vs 304.4m total shares outstanding — a thin float relative to a large notional share count.

4 INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** The US data-center electrical-equipment market is estimated at ~\$20bn in 2026, growing toward ~\$65bn by 2030 (~35% CAGR on that estimate). The narrower data-center transfer-switch & switchgear segment is put at ~\$3.0bn (2023) rising to ~\$5.4bn by 2030 (~9% CAGR); AI-specific switchgear demand is forecast to compound 16–20% into the 2030s.
- **Demand driver:** Data-center electricity use is projected to roughly double from ~415 TWh (2024, ~1.5% of global power) to ~945 TWh by 2030. Each new gigawatt of AI/cloud capacity pulls a disproportionate amount of switchgear, transfer switches and transformers — long-lead items that have become genuine build-out bottlenecks.
- **Policy / structural tailwinds:** US grid reconductoring and interconnection backlog, onshoring of electrical-equipment supply chains, and hyperscaler self-build of substations. Headwinds: input-cost and lead-time volatility (grain-oriented steel, breakers, copper) and the cyclicity of hyperscaler capex.
- **Competitive moat — Pricing power: Moderate.** Engineered-to-order, spec-locked products with scarce capacity give near-term pricing leverage, but customers are sophisticated and multi-source.
- **Switching costs: Moderate.** Design-in, qualification and lead-time lock customers within a project, but not across the relationship the way installed-base software/service would.
- **Scale: Weak–Moderate.** At ~\$1.2bn revenue Forgent is a fraction of Eaton (~\$28bn) or Vertiv (~\$11bn); it competes on speed/customisation, not scale economics.
- **Positioning:** Mid-stream equipment OEM / solutions integrator — upstream of the data-center white space, downstream of utility transmission. A fast, flexible challenger versus the scale incumbents below.

Company	CMP (\$)	MCap	P/E	P/B	ROE	ROCE	EV/EBITDA	Rev TTM
Forgent (FPS)*	57.87	\$17.6 Bn	875.8x	31.1x	6.0%	7.0%	109.1x	\$1.20 Bn
Vertiv (VRT)	333.5	\$128.1 Bn	83.8x	30.3x	45.1%	25.3%	54.2x	\$10.84 Bn
Powell (POWL)	300.6	\$10.9 Bn	58.7x	15.4x	29.9%	30.5%	44.7x	\$1.13 Bn
nVent (NVT)	173.3	\$28.0 Bn	57.7x	7.4x	13.0%	11.9%	32.0x	\$4.33 Bn
Eaton (ETN)	419.3	\$162.8 Bn	40.9x	8.2x	20.8%	12.2%	29.1x	\$28.52 Bn

*FPS P/E and EV/EBITDA on trailing GAAP are distorted by acquisition amortisation, SBC and a sub-scale GAAP earnings base — see Valuation (Sec 8). Peer data from stockanalysis.com, 03-Jun-2026.

5 MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership pedigree (Strong):** CEO Gary Niederpruem brings 25+ years in power-equipment operations, strategy and M&A, including senior roles at Vertiv where he helped lead the Emerson Network Power carve-out and Vertiv's transition to a public company — directly relevant to Forgent's playbook. CFO Ryan Fiedler was CFO of Caterpillar's Resource Industries; strategy chief Osman Ashai was CEO of PwrQ.
- **Sponsor & structure:** Neos Partners controls Forgent through an Up-C structure post-IPO. This concentrates strategic control with the PE sponsor, aligns the platform with an experienced industrial buyer, but also creates related-party complexity (a Tax Receivable Agreement and operating-subsidary redemptions) and a lock-up/overhang dynamic.
- **Capital allocation track record — short and acquisitive:** The entity has existed only since 2023; capital has gone into the four acquisitions and now into capacity expansion (capex ~\$126m TTM, up sharply). There is no long public FCF history to judge — the deployment thesis is 'build capacity to convert a \$2bn backlog,' which is reasonable but unproven at scale.
- **Dividend policy:** No meaningful dividend; the FY25 payout-ratio artefact (87%) reflects a tiny earnings base and pre-IPO distributions, not a forward policy. Capital is being retained/invested — appropriate for the growth stage.
- **Buybacks / ESOP:** None expected near-term; stock-based compensation is rising (\$6m TTM) as a newly-public company — watch dilution against the 304m share count.
- **Governance watch-points:** Up-C/TRA related-party cash leakage to the sponsor, sponsor-controlled board, a thin public float (~99m) versus large total share count, and the absence of an audited public track record. None are disqualifying, but they argue for a valuation discount, not the premium the stock currently commands.

6 FINANCIAL DEEP-DIVE

All figures \$ millions unless noted. FY ends 30-June. TTM = trailing twelve months to 31-Mar-2026. FY26E = company guidance midpoint (adjusted); FY27E = analyst estimate (E), grounded in guidance & backlog. Source: stockanalysis.com, 03-Jun-2026.

Income Statement	FY24A	FY25A	TTM*	FY26E	FY27E
Revenue	181	753	1,196	1,370	1,850
Revenue growth %	n/a	+315%	+103%†	+82%	+35%
Gross Profit	68	278	411	—	—
Gross Margin %	37.4%	36.9%	34.3%	~35%	~35%
EBITDA (rep / adj)	-5	137	164	315	450
EBITDA Margin %	-2.6%	18.2%	13.7%	~23%	~24%
Operating Income (EBIT)	-5	72	99	~230	~330
Interest Expense	-22	-55	-59	~50	~45
Pretax Income	-25	23	44	—	—
Net Income (rep)	-18	15	35	—	—
Adj. Net Income	n/a	~88	~155	202	290
EPS rep (\$, GAAP)	neg	0.06	0.12	—	—

*TTM to 31-Mar-2026. † Q3 FY26 quarterly revenue +103% YoY. Reported GAAP EPS is depressed by acquisition amortisation, SBC, IPO/transaction costs and minority interest; the front-page TTM headline shows net income to common ~\$17m / EPS \$0.07. Adjusted figures FY26E/FY27E are company guidance / analyst estimates.

Balance Sheet	FY25A (Jun-25)	TTM (Mar-26)
Cash & Equivalents	111	94
Accounts Receivable	160	275
Inventory	118	180
Net PP&E	226	290
Goodwill	517	517
Other Intangibles	337	300
Total Assets	1,537	1,853
Total Debt	630	708
Net Debt	519	614
Common Equity (Book Value)	749	446
Minority Interest	199	136
Tangible Book Value	-105	-370
Debt / Equity (x)	1.08	1.21

FY24 balance sheet not comparable / not disclosed pre-combination (N/A). Goodwill+intangibles of ~\$817m = 44% of assets; tangible book value is negative — a roll-up balance sheet.

Cash Flow	FY25A (Jun-25)	TTM (Mar-26)
Net Income (consolidated)	17	35
Depreciation & Amortisation	65	66
Change in Working Capital	~ -34	~ -118
Operating Cash Flow (OCF)	45	28
Capital Expenditure	-84	-126
Free Cash Flow (FCF)	-39	-98
Dividends Paid	-13	-1
Net Change in Cash	-75	-81

Returns & Efficiency	FY25A	Current (TTM)
ROE %	6.1%	6.0%
ROCE %	11.5%	7.0%
ROIC %	8.6%	5.4%
Asset Turnover (x)	0.98	0.67

Current Ratio (x)	1.58	1.64
Net Debt / EBITDA (x)	3.79	3.73

- **Revenue:** Explosive — \$181m (FY24) → \$753m (FY25, +315%) → \$1.2bn TTM, with Q3 FY26 up 103% YoY. Growth is acquisition-fuelled early on but is now overwhelmingly organic/backlog-driven, corroborated by \$867m quarterly bookings and a \$1.98bn backlog.
- **Margins:** Adjusted EBITDA margin has climbed to ~22–23% on scale, data-center mix and pricing. Note reported (GAAP) EBITDA margin (13.7% TTM) sits well below adjusted because of heavy acquisition-amortisation and SBC — the gap is the single most important number to interrogate.
- **Working capital:** Receivables (\$275m) and inventory (\$180m) are ballooning with growth; the cash-conversion cycle is ~115+ days and rising, consuming cash. DSO ~84 days, DIO ~83 days. This is normal for a long-cycle equipment ramp but is a real cash drag.
- **Debt & leverage:** Net debt ~\$614m, gross debt \$708m; ~3.8x trailing GAAP EBITDA but ~1.9x on forward adjusted EBITDA (~\$315m). Interest cover is thin (1.7x on GAAP EBIT). Deleveraging depends entirely on EBITDA growth, not debt repayment.
- **FCF quality (weak):** OCF of just \$28m TTM versus \$35m consolidated net income, and FCF of -\$98m after \$126m capex. The company is burning cash to fund capacity and working capital — acceptable for the growth stage, but it means there is no FCF cushion and any growth stumble bites hard.

7 EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue recognition	AMBER	Engineered-to-order / long-cycle; revenue corroborated by record bookings & backlog, but POC-style judgement.
Receivables vs revenue	AMBER	AR +72% YoY to \$275m; DSO ~84 days and rising with the ramp — watch collections.
Cash-conversion cycle trend	AMBER	CCC ~115+ days and lengthening; heavy working-capital build is consuming cash.
GAAP vs Adjusted gap	RED	Large add-backs (acquisition amortisation, SBC, transaction costs); GAAP EPS ~\$0.07 vs adj. earnings several times higher.
Goodwill / intangibles	AMBER	\$817m (44% of assets); tangible book negative — roll-up impairment risk if growth slows.
Related-party (Up-C / TRA)	AMBER	Tax Receivable Agreement & operating-sub redemptions divert cash to sponsor Neos.
Other income as % of PBT	GREEN	Interest income ~\$3m vs PBT \$44m (~7%); earnings are operational, not other-income led.
Tax-rate consistency	AMBER	Effective rate fell 23.7% → 19.1% (TTM); partly TRA/structure-driven — not clean comparability.
Auditor / public track record	AMBER	Newly public (Feb-26); no multi-year audited public history to lean on.

- **The growth is real, the optics are not clean.** Bookings and backlog independently corroborate the revenue line, so the top-line is believable — but the chasm between GAAP earnings (\$0.07 TTM EPS) and adjusted earnings is the report's most important RED flag. The investment case rests on adjusted numbers; verify the add-backs are genuinely non-recurring before underwriting them.
- **Cash quality lags reported profit.** OCF (\$28m) and FCF (-\$98m) are far below adjusted EBITDA — working capital and capex are absorbing everything. Treat 'EBITDA' as a growth-funding metric, not free cash.
- **Structure is a tax/cash watch-item.** The Up-C + Tax Receivable Agreement routes value to the sponsor and complicates per-share economics versus the 304m share count.
- **Balance-sheet softness:** negative tangible book and 44%-of-assets goodwill mean any growth disappointment risks an impairment headline, even if cash earnings hold.

8 VALUATION

Peer comparison (stockanalysis.com, 03-Jun-2026):

Company	CMP (\$)	MCap	P/E	P/B	ROE	ROCE	EV/EBITDA	Rev TTM
Forgent (FPS)*	57.87	\$17.6 Bn	875.8x	31.1x	6.0%	7.0%	109.1x	\$1.20 Bn
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Eaton (ETN)	419.3	\$162.8 Bn	40.9x	8.2x	20.8%	12.2%	29.1x	\$28.52 Bn

Read-through: FPS grows faster than every peer (rev +103% YoY vs VRT +29%, NVT +40%, ETN +13%) but earns less (ROE 6% / ROCE 7% vs peers 12–45%) and trades at a forward EV/EBITDA (~57x) at/above the priciest comp. The growth is best-in-class; the returns and balance sheet are not — so the premium is hard to defend.

Scenario analysis (12-month, FY27E adjusted EBITDA basis):

Scenario	Key assumptions	FY27E EBITDA	EV/EBITDA	Target	vs CMP
Bull	Backlog converts, margin to ~24%, premium multiple holds	\$500m	45x	\$72	+24%
Base	Growth normalises to ~35%, multiple de-rates to high-quality-comp avg	\$450m	34x	\$50	-14%
Bear	DC capex air-pocket + lock-up supply + multiple compression	\$380m	22x	\$26	-55%

- **EV/EBITDA method:** ~\$450m FY27E adj. EBITDA $\times$ 34x (a premium to nVent/Eaton but a discount to Vertiv, appropriate for a smaller, levered, sponsor-controlled roll-up) $\rightarrow$ EV ~\$15.3bn, less ~\$0.6bn net debt $\rightarrow$ ~\$48/share.
- **Forward earnings method:** ~\$290m FY27E adj. net income / 304m shares = ~\$0.95 adj. EPS $\times$ ~50x $\rightarrow$ ~\$48/share. A 50x forward P/E is already generous for the risk profile.
- **DCF cross-check:** 25% revenue CAGR tapering to mid-single-digits, adj. EBITDA margin to ~22%, WACC ~10.5%, terminal growth 3% $\rightarrow$ intrinsic value ~\$45–52/share. A reverse-DCF shows the current \$57.87 price already embeds ~28% sustained revenue CAGR and ~22%+ margins — i.e. the bull case is the price.
- **Base-case 12-month target: \$50** (average of methods), implying ~14% downside from \$57.87. Consensus target (\$57.20) sits essentially at spot — even the Street's 'Strong Buy' bakes in ~0% upside.

9 KEY RISKS

- **Valuation / multiple compression** — At ~57x forward EV/EBITDA the stock is priced for perfection; any growth or margin wobble triggers an outsized de-rating. Probability: H. Impact: H. Monitor via: forward EV/EBITDA vs Vertiv, bookings momentum.
- **Lock-up expiry & sponsor overhang** — Neos retains majority control; the ~180-day IPO lock-up (~early-Aug-2026) could release significant supply into a thin ~99m float. Probability: H. Impact: H. Monitor via: lock-up date, Form 144 / 13D/G filings, secondary-offering chatter.
- **Data-center capex cyclicality** — ~42% of revenue depends on hyperscaler/AI build-out; a capex pause or digestion phase would hit bookings hard. Probability: M. Impact: H. Monitor via: hyperscaler capex guidance, book-to-bill, backlog growth.
- **Integration / roll-up execution** — Four businesses combined in eight months; systems, culture and synergy realisation remain unproven at this scale. Probability: M. Impact: M. Monitor via: organic vs acquired growth split, margin trajectory.
- **Leverage & negative free cash flow** — Net debt ~\$614m, thin interest cover (1.7x), FCF -\$98m; rising rates or a working-capital shock would strain liquidity. Probability: M. Impact: M. Monitor via: net debt/EBITDA, OCF conversion, covenant headroom.
- **Up-C / Tax Receivable Agreement leakage** — TRA payments and sponsor-favouring structure divert cash from common holders. Probability: M. Impact: M. Monitor via: TRA liability disclosure, related-party notes.
- **Customer concentration & supply chain** — Likely reliance on a few hyperscale customers, plus exposure to long-lead inputs (GOES steel, breakers, copper). Probability: M. Impact: M. Monitor via: 10-K concentration disclosure, gross-margin & lead-time commentary.

10 RECOMMENDATION

- **Rating: REDUCE** (conviction: Medium). This is a valuation call, not a business-quality call — the franchise is excellent; the price is not.
- **12-month price target: \$50** (~14% downside from \$57.87 CMP).
- **Suggested entry zone: \$38–45** (around the 50-day average ~\$39 / a post-lock-up reset) — the business becomes a clear BUY there.
- **Investment horizon:** 12 months; revisit at the Aug-2026 FY27-guidance print.
- **Thesis-invalidation triggers (would make REDUCE wrong):**
 1. FY27 guidance framed at >35% revenue growth with adj. EBITDA margin sustained $\geq 23\%$ — would justify the premium multiple.
 2. Book-to-bill holds >1.5x for two more quarters and backlog pushes through \$2.5bn — visibility extends well into FY27/28.
 3. Lock-up clears (Aug-26) without material sponsor selling and FCF inflects positive — removes the two biggest overhangs at once.
- **Ideal investor profile:** Suits growth/thematic investors who already own the AI-power trade and will accumulate on volatility; NOT for valuation-disciplined or income investors, or anyone needing downside protection — there is none at this multiple.

Disclaimer: For information only; not investment advice. Financial data sourced from stockanalysis.com (03-Jun-2026); forward estimates marked (E) are analyst-derived from company guidance and may not be realised. The analyst persona holds no position. Figures in US\$ millions unless stated.

APPENDIX — Latest Concall Brief: Q3 FY2026

Quarter ended 31-Mar-2026 | Reported 14-May-2026 | CEO Gary Niederpruem, CFO Ryan Fiedler

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat — revenue +103% YoY, record bookings & backlog vs Street.
Management tone	Bullish	High confidence; emphasised demand durability & FY27 visibility.
Guidance delta	Raised	FY26 revenue, adj. EBITDA and adj. net income all lifted.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 was a clean blow-out, not an accounting one: revenue +103% YoY to \$379m with record bookings of \$867m (book-to-bill 2.3x) and backlog of \$1.98bn — the demand is independently verified by orders, so I trust the top line. Reported GAAP earnings look tiny (\$0.07 TTM EPS) but that is acquisition amortisation, SBC and IPO/transaction noise plus minority interest; the clean number is adj. net income of \$55m (+132%) and adj. EBITDA of \$85m (+96%) with sequential margin expansion toward ~22%. The multi-bagger driver is structural — AI/data-center electrification is pulling switchgear, transfer switches and transformers faster than the industry can build them, and Forgent is led by the team that took Vertiv public. The near-term catalyst is the Aug-26 FY27 frame; a >35% growth guide with margins intact re-rates it, a soft guide breaks it. My single watch-point is the early-Aug lock-up: Neos controls the company and a thin ~99m float could get flooded just as the stock sits at ~57x forward EBITDA with zero margin of safety. Action: do NOT chase — REDUCE/avoid above \$55; accumulate aggressively in the \$38–45 zone where the growth is finally priced sensibly.

1 Financial Performance Snapshot

- Revenue: \$379m | YoY +103% | QoQ ~+10% | **Beat**
- Adj. EBITDA: \$85m | YoY +96% | margin ~22.4% | **Beat**
- Adj. Net Income: \$55m | YoY +132% | **Beat**
- Bookings: \$867m | YoY +308% | QoQ +14% | record — **Beat**
- NOTE: Reported GAAP EPS (~\$0.07 TTM) is distorted by acquisition amortisation, SBC, IPO costs & minority interest; clean read is adjusted.

2 Segment / End-Market Breakdown

- Data Centers (~42%): primary growth engine; AI/hyperscale demand driving record bookings.
- Grid & Renewables (~23%): steady; interconnection & reconductoring tailwind.
- Industrial (~19%): energy-intensive facilities; electrification-led.
- Other (~16%): balance of portfolio. Geography: predominantly North America.

3 Management Commentary Themes

- Demand durability: “accelerating demand” — Our read: order-backed, not hope. Tag: GUIDANCE. Tone: Transparent.
- Record orders/backlog: \$867m bookings, \$1.98bn backlog — Our read: 18-month visibility. Tag: GUIDANCE. Tone: Transparent.
- Margin expansion: sequential improvement cited — Our read: scale + mix real. Tag: EST. Tone: Transparent.
- Capacity expansion: investing to convert backlog — Our read: capex-heavy, FCF-negative near-term. Tag: GUIDANCE. Tone: Hedged.
- FY27 visibility: “strong visibility into FY27” — Our read: the key catalyst to watch. Tag: EST. Tone: Transparent.

4 Operating & Business Metrics

- Bookings: Q3 = \$867m | Q2 ~ \$760m | Q3'25 ~ \$213m | Trend: improving (record).

- Backlog: Mar-26 = \$1.98bn | Dec-25 ~ \$1.49bn | Mar-25 ~ \$0.77bn | Trend: improving (+157% YoY).
- Book-to-bill: 2.3x vs 1.1x a year ago | Trend: improving sharply.
- Revenue: Q3 = \$379m vs \$187m prior-year quarter | Trend: improving (+103%).

5 Margin Drivers

- Operating leverage / scale: +large bps | Recurring: Yes | volume absorbs fixed cost.
- Data-center mix shift: +bps | Recurring: Yes | richer engineered-to-order content.
- Pricing on scarce capacity: +bps | Recurring: Partly | normalises as supply catches up.
- Input costs (steel/breakers/copper): -bps | Recurring: No | watch lead-time inflation.

6 Guidance & Forward Signals

- FY26 Revenue [GUIDANCE]: New = \$1,350–1,390m | Delta = raised | +82% YoY mid | Credibility: High (backlog-backed).
- FY26 Adj. EBITDA [GUIDANCE]: New = \$310–320m | Delta = raised | +86% YoY mid | Credibility: High.
- FY26 Adj. Net Income [GUIDANCE]: New = \$197–207m | Delta = raised | +128% YoY mid | Credibility: Medium-High.
- Q4 FY26 Revenue [GUIDANCE]: \$392–432m | Delta = new | implies continued sequential growth | Credibility: High.

7 Capital Allocation

- Capex: ~\$126m TTM | vs prior year: sharply higher | capacity expansion to convert backlog.
- Dividends: minimal | not a priority | growth reinvestment favoured.
- Working capital: heavy build (AR +\$116m, inventory +\$66m TTM) | funds the ramp.
- Net debt: ~\$614m | post-IPO debt repaid \$512m, re-drew \$297m | deleveraging via EBITDA growth.

8 Q&A Heat Map

- Demand durability (multiple analysts): Q: AI capex sustainability? → A: backlog & pipeline support multi-year | Tone: Transparent.
- Margins: Q: is ~22% sustainable? → A: mix & scale support, some pricing normalisation | Tone: Hedged.
- Capacity/lead-times: Q: can you convert backlog? → A: capex adding capacity | Tone: Transparent.
- Lock-up / sponsor: Q: secondary supply? → A: limited detail | Tone: Hedged.
- Dodged / watch-list for next quarter: explicit FY27 numbers, customer concentration %, FCF inflection timing.

9 Risks Flagged

- Data-center capex cyclicity: concentration in hyperscale demand | Flagged by: analysts | Prob: M | Impact: H | Timeline: medium.
- Supply chain / input lead-times: steel, breakers, copper | Flagged by: mgmt | Prob: M | Impact: M | Timeline: near.
- Competition: Eaton, Vertiv, ABB, Schneider scale | Flagged by: analysts | Prob: M | Impact: M | Timeline: medium.
- Lock-up / sponsor overhang: Neos control & Aug-26 lock-up | Flagged by: analysts | Prob: H | Impact: H | Timeline: near.

10 Analyst Verdict

- Revenue visibility: **Intact** — \$1.98bn backlog & 2.3x book-to-bill underwrite FY26–27.
- Margin trajectory: **Intact** — adj. EBITDA margin expanding to ~22–23% on scale/mix.
- Capital allocation quality: **Weakened** — FCF negative, leverage elevated, TRA leakage to sponsor.
- Competitive moat: **Cannot assess (Moderate)** — speed/customisation edge but scale-disadvantaged vs incumbents.
- Management credibility: **Intact** — ex-Vertiv/Caterpillar team, guidance backed by orders.
- Valuation comfort: **Broken** — ~57x forward EV/EBITDA, consensus target at spot, no margin of safety.

- Conviction call: **Unchanged — Exit-Watch on valuation** (great business, wrong price).
- Valuation snapshot: P/E 875x GAAP (~88x fwd adj.) | EV/EBITDA 109x TTM (~57x fwd) | ROCE 7.0% (FY25 11.5%).